



Choosing a Model

One of the first decisions to make when planning a business is how it will operate and make money—its business model. Examining the choices available will help you decide what will work best.

Understanding the options

To be successful, all start-ups need a sound way of operating that generates profit. This may involve adopting a single business model, such as retail, or a combination of models. For example, a magazine publisher could use a subscription model, charging its readers a regular fee, and an advertising model to earn money from companies who want to promote their

brands to those readers. Alternatively, the publisher might give away the magazine for free to increase its audience, then charge more for advertising.

As you shape your business model, seek the opinions of potential customers, take expert advice, then trial the model in a pilot—adapting it as necessary (see pp.132–133). The following are common examples of business models, but there are many more.



Offline retail

Customers buy goods directly from a shop or outlet. The retailer makes or buys the products from a wholesaler or distributor then adds to (or “marks up”) the price to make a profit and sells directly to customers, face-to-face.



Online/e-commerce retail

Individual businesses may sell online from their own websites or on “third-party” sites that act as virtual marketplaces and charge a fee. Leading third-party websites include Shopify and Etsy (see pp.68–69).



“Bricks and clicks”

Businesses with a traditional offline store and an online presence use this. Customers can order online and/or collect and buy from physical stores. Helps retailers offer a larger range of products than a physical store can hold.



Manufacturing

Manufacturers, such as furniture makers, use raw materials to make products, which they sell to a wholesaler (such as a dealer or outlet), who sells them on at a marked-up price to the customer.



Wholesale

Wholesalers generally buy products from manufacturers and producers, then resell to retailers, who sell to customers. Wholesalers may sell direct to customers, or first to a specific distributor, who sells on to a general wholesaler.



Direct sales

Individuals sell products directly to customers—either via product parties or one-to-one sales. Some companies, such as Mary Kay, sell products to individual agents, who take a share of the profits on each item they sell.